

SOLUTION ACCOUNTING CYCLE REVIEW
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(a)

General Journal

Date	Account Titles	Debit	Credit
Mar. 1	Cash	15,000	
	Common Stock		15,000
1	Cash	6,000	
	Notes Payable		6,000
1	Equipment	8,000	
	Cash		8,000
2	Prepaid Rent	1,500	
	Cash		1,500
3	Prepaid Insurance	2,400	
	Cash		2,400
6	Supplies	2,000	
	Accounts Payable		2,000
14	Accounts Receivable	3,700	
	Service Revenue		3,700
18	Accounts Payable	500	
	Cash		500
20	Salaries & Wages Expense	1,750	
	Cash		1,750
21	Cash	1,600	
	Accounts Receivable		1,600
28	Accounts Receivable	4,200	
	Service Revenue		4,200
31	Maintenance & repairs expense	350	
	Cash		350
	Dividends	900	
	Cash		900

(Continued)

This shows all of the postings for each part of the problem: (b) & (e)

Students may wish to skip the 'posting' portion of this exam review and go directly to the related Trial Balance or Adjusted Trial Balance to continue with the exam practice.

Cash			
3/1	15,000	3/1	8,000
3/1	6,000	3/2	1,500
3/21	1,600	3/3	2,400
		3/18	500
		3/20	1,750
		3/31	350
		3/31	900
3/31 Bal.	7,200		

Accounts Receivable			
3/14	3,700	3/21	1,600
3/28	4,200		
3/31	200		
3/31 Bal.	6,500		

Supplies			
3/6	2,000	3/31	1,720
3/31 Bal.	280		

Prepaid Rent			
3/2	1,500	3/31	500
3/31 Bal.	1,000		

Prepaid Insurance			
3/3	2,400	3/31	400
3/31 Bal.	2,000		

Equipment			
3/1	8,000		
3/31 Bal.	8,000		

Accumulated Depreciation— Equipment			
		3/31	250
		3/31 Bal.	250

Notes Payable			
		3/1	6,000
		3/31 Bal.	6,000

Accounts Payable			
3/18	500	3/6	2,000
		3/31 Bal.	1,500

Salaries and Wages Payable			
		3/31	1,080
		3/31 Bal.	1,080

Interest Payable			
		3/31	30
		3/31 Bal.	30

Common Stock			
		3/1	15,000
		3/31 Bal.	15,000

Retained Earnings			

Dividends			
3/31	900		

(Continued)

Service Revenue		
	3/14	3,700
	3/28	4,200
	3/31	200
	<u>3/31 Bal.</u>	<u>8,100</u>

Maintenance and Repairs Expense		
3/31	350	
<u>3/31 Bal.</u>	<u>350</u>	

Supplies Expense		
3/31	1,720	
<u>3/31 Bal.</u>	<u>1,720</u>	

Depreciation Expense		
3/31	250	
<u>3/31 Bal.</u>	<u>2,500</u>	

Insurance Expense		
3/31	400	
3/31 Bal.	400	

Salaries and Wages Expense		
3/20	1,750	
3/31	1,080	
<u>3/31 Bal.</u>	<u>2,830</u>	

Rent Expense		
3/31	500	
<u>3/31 Bal.</u>	<u>500</u>	

Interest Expense		
3/31	30	
<u>3/31 Bal.</u>	<u>30</u>	

(Continued)

(c)

LARS CLEANERS
Trial Balance
March 31, 2024

	<u>Debit</u>	<u>Credit</u>
Cash.....	\$ 7,200	
Accounts Receivable.....	6,300	
Supplies	2,000	
Prepaid Rent	1,500	
Prepaid Insurance.....	2,400	
Equipment.....	8,000	
Accumulated Depreciation— Equipment.....		
Notes Payable		\$ 6,000
Accounts Payable.....		1,500
Salaries and Wages Payable.....		
Interest Payable		
Common Stock		15,000
Dividends	900	
Service Revenue.....		7,900
Maintenance and Repairs Expense	350	
Salaries and Wages Expense	1,750	
Depreciation Expense		
Insurance Expense		
Supplies Expense		
Rent Expense.....		
Interest Expense.....		
	<u>\$30,400</u>	<u>\$30,400</u>

(Continued)

Adjusting journal entries

(d)

General Journal				
	Date	Account Titles	Debit	Credit
1.	March 31	Accounts Receivable	200	
		Service Revenue		200
2.	31	Depreciation Expense	250	
		Accumulated Depreciation— Equipment		250
3.	31	Insurance Expense.....	400	
		Prepaid Insurance (\$2,400 ÷ 6)		400
4.	31	Supplies Expense	1,720	
		Supplies (\$2,000 – \$280)		1,720
5.	31	Salaries and Wages Expense	1,080	
		Salaries and Wages Payable.....		1,080
6.	31	Rent Expense	500	
		Prepaid Rent (\$1,500 ÷ 3)		500
7.	31	Interest Expense	30	
		Interest Payable (\$6,000 × .06 × 1/12)		30

(Continued)

Use this page to prepare the financial statements (with no reference materials.)

(f)

LARS CLEANERS
Adjusted Trial Balance
March 31, 2024

	<u>Debit</u>	<u>Credit</u>
Cash.....	\$ 7,200	
Accounts Receivable.....	6,500	
Supplies	280	
Prepaid Rent	1,000	
Prepaid Insurance.....	2,000	
Equipment.....	8,000	
Accumulated Depreciation— Equipment.....		\$ 250
Notes Payable		6,000
Accounts Payable.....		1,500
Salaries and Wages Payable.....		1,080
Interest Payable		30
Common Stock		15,000
Dividends	900	
Service Revenue		8,100
Maintenance and Repairs Expense	350	
Salaries and Wages Expense	2,830	
Depreciation Expense	250	
Insurance Expense	400	
Supplies Expense	1,720	
Rent Expense.....	500	
Interest Expense	30	
	<u>\$31,960</u>	<u>\$31,960</u>

(Continued)

(g)

LARS CLEANERS
Income Statement
For the Month Ended March 31, 2024

Revenues		
Service revenue		\$8,100
Expenses		
Maintenance and repairs expense.....	\$ 350	
Salaries and wages expense	2,830	
Depreciation expense.....	250	
Insurance expense	400	
Supplies expense	1,720	
Rent expense	500	
Interest expense	30	
Total expenses		<u>6,080</u>
Net income.....		<u><u>\$2,020</u></u>

LARS CLEANERS
Retained Earnings Statement
For the Month Ended March 31, 2024

Retained earnings, March 1.....	\$ 0
Add: Net income	<u>2,020</u>
	2,020
Less: Dividends.....	<u>900</u>
Retained earnings, March 31.....	<u><u>\$1,120</u></u>

(Continued)

LARS CLEANERS
Balance Sheet
March 31, 2024

Assets

Cash.....		\$7,200
Accounts receivable.....		6,500
Supplies		280
Prepaid rent.....		1,000
Prepaid insurance.....		2,000
Equipment.....	8,000	
Less: Accumulated depreciation— equipment.....	<u>250</u>	<u>7,750</u>
Total assets		<u><u>\$24,730</u></u>

Liabilities and Stockholders' Equity

Liabilities:

Notes payable	\$ 6,000
Accounts payable	1,500
Salaries and wages payable	1,080
Interest payable	<u>30</u>
Total current liabilities	8,610

Stockholders' equity:

Common stock.....	15,000
Retained earnings.....	<u>1,120</u>
Total liabilities & stockholders' equity..	<u><u>\$24,730</u></u>